

Five-Year Accumulation Plan

85% S&P 500 / 12% MOSE forever stocks / 3% hunt sleeve, \$300k reserve, full Roth conversion by 2030, \$55k a year of new money

Prepared for Joe Lynch, September 25, 2026. Companion to *retirement-plan.md* (sections 4e and 6) in the MOSE repository. Illustrative projections, not tax or investment advice.

1. The plan, as requested

Invest **\$1.9 million** into the market over the next six months and leave it alone for five to seven years, with no withdrawals. Keep a separate **\$300,000 reserve** in SGOV outside the portfolio. Raise income by about **\$75,000 a year** over the current \$303k, to roughly \$378k, to cover living costs, the kids and the house. Allocation: **85% S&P 500** index fund, **12% MOSE forever compounders** (the bucket-1 names: GOOGL, AMZN, BRK.B, AAPL, MSFT, META, COST, MELI, CSU, WMT), and a **3% hunt sleeve** of high-risk 10x-to-100x candidates from the *Next Amazon Hunt* paper. On top of that, three things happen every year from 2026 through 2030:

- **Convert the entire pre-tax IRA balance to Roth** (Joe's IRA ~\$948k plus Keli's inherited IRA ~\$202k, about \$1.15M today) in five roughly equal slices, finishing in 2030.
- **Contribute \$30,000 a year to the Roth 401(k)** at ADP (inside the 2026 limit of \$24,500 plus the \$8,000 catch-up for age 50 and over).
- **Add \$25,000 a year of new money to the stock sleeve** (the taxable account, same 85/12/3 mix).

That is \$55,000 a year of contributions for five years, \$275,000 in total, and \$1.32 million of conversions carrying about \$537,000 of tax at the higher income. The tax is the swing factor, so the results below are shown both ways: tax paid from income and cash outside the portfolio, and tax paid out of the portfolio itself.

2. Starting point and assumptions

Item	Assumption
Starting portfolio	\$1.9M invested over six months from September 2026 (modeled as 75% market exposure in year 1, the rest earning 4% in SGOV while it waits)
Reserve	\$300k in SGOV at 4%, held outside the portfolio and never invested. Shown separately below; it is not in the Monte Carlo.
Income	\$378k a year: current \$303k of salary and K-1 income plus the \$75k raise Joe intends to take. The raise is for living costs, not conversion tax. It costs about \$23k to \$31k a year of tax on its own.
Mix	85% S&P 500 / 12% MOSE forever stocks / 3% hunt sleeve, rebalanced annually
Return assumptions	S&P 500 10% a year with 17% volatility (long-run average). MOSE picks assumed to match the S&P at 20% volatility. Hunt sleeve assumed to match at 45% volatility. Alternate cases at 14.7% (last-decade S&P average) and 7% (weak decade).
Correlation	0.9 between S&P and MOSE picks; 0.7 between the hunt sleeve and each
Contributions	\$30k Roth 401(k) + \$25k taxable sleeve = \$55k a year, years 1 to 5, nothing after
Withdrawals	None for the whole horizon
Roth conversion	\$1.15M pre-tax converted 2026 to 2030 in equal slices of the remaining balance; unconverted balance grows 7% (it sits mostly in SGOV and MOSE names today)
Conversion tax	2026 federal brackets (post-OBBA) plus New Jersey gross income tax, on top of \$378k of income. Joint / qualifying-surviving-spouse status 2026 to 2028, head of household 2029 to 2030 (a daughter still qualifying). SALT capped at \$40.4k.

Item	Assumption
Method	20,000-path Monte Carlo per case, plus a straight-line path at the assumed average. Figures are nominal (not inflation-adjusted). Taxes on the taxable account's dividends and gains are ignored, which flattens the taxable slice by roughly 0.3 to 0.5% a year.

3. Roth conversion schedule, 2026 to 2030

Equal-slice conversion of the whole pre-tax balance. Each year converts one-fifth, one-quarter, one-third, one-half, then all of what remains, so the dollar amount rises as the balance grows.

Year	Age	Filing status	Convert	Tax on conversion	Combined rate	IRA left after
2026	57	joint / surviving spouse	\$230k	\$88k	38%	\$984k
2027	58	joint / surviving spouse	\$246k	\$95k	39%	\$790k
2028	59	joint / surviving spouse	\$263k	\$103k	39%	\$564k
2029	60	head of household	\$282k	\$121k	43%	\$301k
2030	61	head of household	\$301k	\$130k	43%	\$0
		Total	\$1,323k	\$537k	41%	

What the schedule costs versus the plan's current schedule. The retirement plan (section 6, schedule F) converts \$242k a year in 2026 to 2028, pauses in 2029 and 2030 while salary and lot sales are both flowing, and finishes at about 24% marginal rates in 2031 to 2035 after Joe retires. It converts \$1.47M (the balance grows longer) for \$487k of tax, a 33% average. The five-year schedule here converts \$1.32M for \$537k, a 41% average at \$378k of income (\$502k and 38% if income stays at \$303k; the raise adds about \$35k to the conversion bill because it pushes more of each conversion into the 32% and 35% federal brackets). The difference is concentrated in 2029 and 2030: converting \$583k in those two years while still earning \$378k as head of household costs 43%, against roughly 29% to 35% if those same dollars waited until 2031 to 2033. That is about \$70k of extra tax for finishing five years sooner. It is a reasonable price if Joe values certainty and wants the growth happening inside the Roth from 2031 on, and a poor price if the lot sales land in 2029 and 2030 as planned, because lot gains stack on top and push the marginal rate higher still. The recommendation stands: convert hard in 2026 to 2028, then decide in late 2029 whether to push through or pause.

Where the tax money comes from. "Tax from salary" below means tax paid from cash *outside* the \$1.9M: salary after living costs, the \$500k due from Joe's brother in early 2027, the ~\$320k of receivables, and lot-sale proceeds. Salary alone will not cover it. The extra \$75k of income is earmarked for living costs and nets about \$50k after its own tax, so the \$88k to \$130k of annual conversion tax still has to be pre-funded. The \$500k Bay Terrace payment covers 2026 through 2028 (~\$286k) with room to spare; 2029 and 2030 (~\$251k) need receivables or a lot sale. The \$300k reserve is the backstop if that cash is late, but it is a backstop, not the plan. If none of it arrives, the money comes out of the portfolio, and that is the "tax from portfolio" case.

4. Where you would be

Portfolio value at the end of year 5 (September 2031) and year 7 (September 2033). "Straight line" is the arithmetic path at the assumed average. Median, 10th and 90th percentiles are from the Monte Carlo. "Chance below \$1.9M" is the share of seven-year paths that end below the starting amount.

Case	5-yr straight line	5-yr median	5-yr 10th / 90th	7-yr straight line	7-yr median	7-yr 10th / 90th	Chance below \$1.9M
Base: S&P 10%, tax from salary	\$3.39M	\$3.24M	\$2.06M / \$4.90M	\$4.10M	\$3.83M	\$2.20M / \$6.37M	5%
S&P 10%, MOSE and hunt beat by 2 pts	\$3.43M	\$3.28M	\$2.09M / \$4.97M	\$4.17M	\$3.88M	\$2.24M / \$6.42M	5%
S&P 10%, tax paid from the portfolio	\$2.68M	\$2.54M	\$1.53M / \$4.00M	\$3.24M	\$2.99M	\$1.64M / \$5.12M	17%
Last-decade S&P (14.7%)	\$4.10M	\$3.93M	\$2.54M / \$5.86M	\$5.40M	\$5.09M	\$2.98M / \$8.27M	1%
Weak decade (7%)	\$2.98M	\$2.86M	\$1.78M / \$4.37M	\$3.42M	\$3.17M	\$1.80M / \$5.33M	12%
For comparison: no contributions, tax from salary	\$3.02M	\$2.88M	\$1.78M / \$4.41M	\$3.65M	\$3.39M	\$1.94M / \$5.73M	9%

Read it this way. At a plain 10% S&P decade with the conversion tax paid from outside, the \$1.9M plus \$275k of contributions is about **\$3.24M** in five years and **\$3.83M** in seven, with a one-in-ten bad outcome near \$2.20M and a one-in-ten good one near \$6.37M. About one path in twenty finishes below where it started after seven years. The \$275k of contributions adds roughly \$440k to the seven-year median compared with the same plan without them.

The tax source matters more than the stock picks. Paying the \$537k of conversion tax out of the portfolio instead of from outside cash cuts the seven-year median from \$3.83M to \$2.99M and triples the chance of ending below \$1.9M (to 17%). By contrast, the MOSE and hunt names beating the index by two points a year adds only about \$51k to the seven-year median, because they are 15% of the money. Funding the tax from the brother payment, receivables and, if needed, the reserve is the single most valuable move in this plan.

The regime is the other big lever. Repeat the last decade and seven years ends near \$5.09M; a weak 7% decade lands near \$3.17M. Neither is predictable. The 10% base case is the long-run average and is the one to plan around.

5. Year-by-year path (base case, 10%, tax from outside the portfolio)

End of	Calendar	Portfolio (straight line)	Reserve (SGOV 4%)	Portfolio + reserve	Contributions	Conversion	Conversion tax (paid outside)
Year 1	~Sep 2027	\$2.12M	\$312k	\$2.43M	\$55k	\$230k	\$88k
Year 2	~Sep 2028	\$2.39M	\$324k	\$2.72M	\$55k	\$246k	\$95k
Year 3	~Sep 2029	\$2.69M	\$337k	\$3.03M	\$55k	\$263k	\$103k
Year 4	~Sep 2030	\$3.02M	\$351k	\$3.37M	\$55k	\$282k	\$121k
Year 5	~Sep 2031	\$3.39M	\$365k	\$3.75M	\$55k	\$301k	\$130k
Year 6	~Sep 2032	\$3.73M	\$380k	\$4.10M	\$0	done	
Year 7	~Sep 2033	\$4.10M	\$395k	\$4.49M	\$0	done	

Where the money sits at year 5. Of the ~\$3.39M straight-line total in September 2031, about **\$1.86M (55%) is Roth**: the converted IRA slices plus five years of Roth 401(k) contributions, all grown at the same 10%. The

remaining ~\$1.52M is the taxable account (the part of the \$1.9M that is not IRA money, plus the \$25k a year of sleeve additions). From 2031 on the Roth grows tax-free with no required distributions at 75, and the taxable slice has Keli's half stepped up as of July 22, 2026. The \$300k reserve, untouched, is about \$365k at year 5 and \$395k at year 7 on top of the figures above.

6. Caveats

- The 85/12/3 mix is, after look-through, roughly 90% large-cap US stock. It has one bet: the US market keeps compounding. The \$300k reserve sits outside it; the plan assumes living costs come from income and the conversion tax from the cash items above.
- The \$75k raise is assumed, not in hand. If it does not materialize, the conversion tax falls to about \$502k and living costs need another source.
- Monte Carlo percentiles assume returns are roughly normal year to year. Real markets have fatter tails; the 10th percentile is a guide, not a floor.
- The MOSE and hunt sleeves are modeled as matching the index. The hunt sleeve in particular can go to zero (a 3% loss) or multiply; its expected value is unknowable and is set to the index deliberately.
- Conversion tax uses 2026 brackets unindexed, \$378k of other income every year, and the NJ rate on the full conversion. If the CPA finds New Jersey basis in the IRA (contributions made as an NJ resident were never deductible in NJ), the NJ share falls. Lot-sale gains in 2029 to 2032 are NOT in this schedule; they would raise the rate on any conversion in those years.
- Head-of-household status in 2029 and 2030 needs a qualifying child at home; the youngest daughter turns 24 in about 2031. Confirm with the CPA.
- Taxes on the taxable account (dividends, rebalancing gains) are ignored. Expect the taxable slice to trail the figures here by a fraction of a percent a year.
- Nothing here is inflation-adjusted. At 3% inflation, \$3.83M in 2033 buys what about \$3.1M buys today.

7. What to do in the next 90 days

- **Open the Roth IRA at IBKR** (in progress) and roll Keli's ADP Roth 401(k) into it.
- **2026 conversion: ~\$230k of SGOV in kind** from Joe's IRA before December 31, in two or three tranches, the last after the CPA confirms 2026 taxable income. Buy the forever-compounder names inside the Roth with it.
- **Raise the ADP Roth 401(k) deferral** so 2026 contributions reach \$30k (the limit with catch-up is \$32.5k).
- **Set up estimated tax payments** at the 110% safe harbor so the conversion does not trigger an underpayment penalty.
- **Earmark the \$500k from Joe's brother (early 2027)** as the 2026 to 2028 conversion-tax reserve. Park it in SGOV in the joint account, next to the \$300k living reserve, and keep the two labeled separately.
- **Begin the six-month deployment** of the \$1.9M: roughly \$315k a month into the 85/12/3 mix. Decide which accounts hold it (the joint account, the IRA and Roth, or a new taxable account) so the 12% and 3% sleeves land in the Roth where possible.
- **Decide in late 2029** whether to finish the conversion in 2029 to 2030 at ~42% or pause and finish in 2031 to 2033 at ~29% to 35%, once the lot-sale timing is known.

Sources: retirement-plan.md sections 4c to 6 and 11; IBKR positions of September 17, 2026; JFL_Financial_Master.xlsx; 2026 federal and New Jersey tax tables; model scripts accum.py and plan.py. Prepared with Claude Code.